

26STCV00017 26STCV00017

County: los-angeles

Division: Civil Law and Motion

Department: 510

Hearing date: 2026-09-24

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Case Number: 26STCV00017 Hearing Date: September 24, 2026 Dept: 510

No.

11 - Creditors Adjustment Bureau, Inc. v. Coastal Charm LLC

Defendant Coastal Charm LLC's Motion

to Set Aside Default Judgment

Defendant

Coastal Charm LLC moves to set aside the default judgment entered against it on May 18, 2026. Defendant moves for relief under Code of Civil Procedure sections 473.5 and 473(d).

CCP

§ 473.5

Defendant

is entitled to relief under Code of Civil Procedure section 473.5. "When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against the party in the action," the defendant may move to set aside the default or default judgment. (CCP § 473.5(a).) "Upon a finding by the court that the motion was [timely] and that [defendant's] lack of actual notice in time to defend the action was not caused by the party's avoidance of service or inexcusable neglect, it may set aside the default or default judgment." (CCP § 473.5(c).) "The moving party has the burden of showing good cause for relief from a default or a default judgment." (Tunis v. Barrow (1986) 184 Cal.App.3d 1069, 1080.) " '[W]ith respect to setting aside a default judgment, it is the policy of the law to favor, whenever possible, a hearing on the merits.' " (Luxury Asset Lending, LLC v. Philadelphia Television Network,

Inc. (2020) 56 Cal.App.5th 894, 907 [CCP § 473.5].)

Here,

Defendant shows it lacked actual notice of this lawsuit. It is undisputed that Plaintiff personally served the summons on VCorp Agent Service, Inc. ("VCorp"), which was the registered agent for service of process listed for Defendant on the California Secretary of State website at the time of service. (Aposhian Decl., ¶ 7.) However, Defendant's manager Haim Zrihen attests, "nobody, including myself, at Coastal Charm received the Summons and Complaint from Vcorp before default was entered." (Zrihen Decl., ¶ 3.) Therefore, Defendant did not have actual notice of the lawsuit.

Plaintiff

attempts to rely on *Pulte Homes Corp. v. Williams Mechanical, Inc.* (2016) 2 Cal.App.5th 267 (Pulte) for the proposition that notice to an entity's registered agent constitutes actual notice to that entity under CCP § 473.5. The Court finds that Pulte is inapposite here. The Pulte court's analysis applied to service upon a designated agent for service of process of a dissolved corporation, where there was no other officer to whom notice could have been provided. (Pulte, *supra*, 2 Cal.App.5th at p. 274.) There is no defunct corporate defendant involved in this action. Therefore, service on VCorp does not impute actual notice to Defendant.

Plaintiff

requests the Court allow it to present 15 minutes of testimony from VCorp's person most qualified at the September 24, 2026, hearing under California Rules of Court rule 3.1306(b). Plaintiff argues that this testimony will show that (1) Defendant did receive actual notice, and (2) any lack of notice was a result of its inexcusable neglect. Plaintiff further declares that VCorp told it "Coastal Charm had not communicated with VCorp concerning its designation, that no service agreement existed, that VCorp used the principal address shown in the California Secretary of State's records, that those records contained no telephone number or email address, and that VCorp sent the Summons and Complaint and Request for Entry of Default by regular mail." (Aposhian Decl., ¶ 19.)

The

Court declines to allow this testimony at the hearing. Relevant testimony could have been submitted with the opposition in a declaration by the pertinent

person at VCorp. Importantly, the fact that VCorp sent the summons and complaint via regular mail does not prove that Defendant received actual notice of the lawsuit. In addition, the fact that Defendant may have had no prior service agreement with VCorp is not dispositive on the issue of inexcusable neglect. As confirmed in Defendant's own emails with VCorp, "[p]eople can register entities and appoint [Vcorp] as agent without informing [Vcorp] prior to or after registration was completed." (Aposhian Decl., Ex. 8, at p. 6.) Plaintiff's further arguments as to whether Defendant engaged in inexcusable neglect, on this record, are speculative. "Unless inexcusable neglect is clear, the policy favoring trial on the merits prevails. Doubts are resolved in favor of the application for relief from default." (Elston v. City of Turlock (1985) 38 Cal.3d 227, 235, overruled by statute on other grounds as stated in Wilcox v. Birtwhistle (1999) 21 Cal.4th 973.)

Because

the Court finds that Defendant is entitled to relief under CCP § 473.5, it need not and does not address whether Defendant is also entitled to relief under CCP § 473(d).

Disposition

Defendant

Coastal Charm LLC's motion to set aside default judgment is granted. The Court hereby vacates the judgment entered on May 18, 2026. Defendant shall file its proposed answer, attached as Exhibit A to the Declaration of Haim Zrihen, forthwith.